

MEMORANDUM OF UNDERSTANDING

This Memorandum of Understanding ("MOU") is entered into this _____ day of _____, 2023, by and between County of Bucks ("Bucks"), County of Delaware ("Delaware"), County of Chester ("Chester"), and County of Montgomery ("Montgomery"), (hereinafter each referred to as an "Entity" and collectively, the "Entities").

WHEREAS, pursuant to a Memorandum of Understanding dated April 4, 2021, as amended (the "Existing MOU"), signed by the Delaware Valley Regional Planning Commission ("DVRPC") and the Entities, the Southeastern Pennsylvania Regional Power Purchase Agreement Partnership (the "RPPA") was created to develop a Scope of Work to be included in the Energy Services for Local Government Operations Consultant Request for Proposal ("RFP") to outline the responsibilities of the selected energy services consultant ("Energy Services Consultant").

WHEREAS, since September 2020, the Entities have explored aggregation opportunities for electricity procurement and renewable energy procurement for county operations, in order to achieve the following overarching goals:

- Lower energy costs and lower budget risk;
- Increase renewable energy purchases, with regional benefits;
- Institutionalize and plan for ongoing energy procurement//Establish framework for ongoing energy procurement;
- Avoid overextending county resources; and
- Grow RPPA membership.

WHEREAS, the Entities, acting together, were most recently able to each secure a reasonable one-year fixed price full requirements contract for electricity supply for the short term; however, concerns remain for containing future energy cost growth.

WHEREAS, the Entities desire to pursue a Managed Portfolio Subaccount approach, which is a more active, flexible, and transparent procurement strategy that will allow the Entities to undertake on-going, collaborative action in energy markets and meet stated goals.

NOW THEREFORE, in consideration of the mutual rights and obligations hereinafter set forth, the Entities set forth their intention to proceed as follows:

1. Creation of the Sustainable Energy Partnership of Southeast PA

The Entities hereby authorize the creation of the Sustainable Energy Partnership of Southeast PA ("SEPSPA"), for the purposes outlined above, which shall replace the RPPA. The program will be overseen by the SEPSPA Energy Board (hereinafter, the "Board") that will be established as follows:

- A. Board members will consist of one appointee from each Entity. Each Entity may establish its own process for appointing a Board member. A Board member may be removed by the appointing Entity at any time in its sole discretion with or without

cause. Each Entity may appoint a designee to fulfill the duties of their appointed Board member in the Board member's absence or disability.

- B. The term of each Board member will be two years.
- C. All members will serve their full terms except in the case of a voluntary resignation by a member or removal by a County of its member. Board members shall hold office until their successors have been appointed.
- D. Board members will not be restricted from serving multiple terms.
- E. Each year, the Board will select a Chairperson that will alternate among the Counties. The Chairperson will chair meetings, create agendas and work with the Board Coordinator in preparing and distributing meeting materials.
- F. The Board will select an individual or organization to assist the Board with meetings (the "Board Coordinator") and perform the services described herein, plus any additional services set forth in an agreement with the Board Coordinator. The responsibilities of the Board Coordinator include assisting the Chairperson in creating agendas, coordinating meeting dates, coordinating the distribution of meeting materials, and sending reminders to member Entities regarding deadlines. The Board Coordinator cannot also serve as a Board member.

2. Board Meetings and Operations

- A. The Board will hold quarterly meetings arranged by the Board Coordinator.
- B. The Board will follow the Sunshine Act to the extent applicable.
- C. The Board shall operate pursuant to Robert's Rules of Order.
- D. A Board quorum will be established by the attendance of one member from each of the Counties. One or more members may participate in a meeting by means of conference telephone, videoconference or similar communication equipment by means of which all persons participating in the meeting are able to hear each other. Participation in this manner shall constitute presence in person at such meeting.
- E. Any Board action will require that all Board members be present to vote.
- F. Approval of all Board actions must require the concurrence of a majority of Board members (initially, three of the four Board members) at a properly convened meeting.
- G. Minutes of the Board meetings will be kept by the Board Coordinator.
- H. The Board is not a separate agency for Right to Know Law purposes and the Board Coordinator will refer any requests to the Open Records Officer for each County.

3. Board Duties and Responsibilities

- A. To oversee the implementation of contracts for energy procurement and energy services for SEPSPA including (1) approval of Program Operating Procedures for electricity purchases and (2) appointment of an Authorized Transactor (as described in the Program Operating Procedures) for execution of purchases for the managed portfolio subaccount for a period of not less than one year. Each Entity shall execute separate contract documents for purchase of electricity from the managed portfolio subaccount and release purchase orders, and shall be responsible for payment of invoices.
- B. To direct the development of all energy procurement portfolio risk management plans, including, but not limited to, the electricity accounts portfolio. The Board shall approve all portfolio risk management plans and shall make any changes, alterations, additions, or deletions to any portfolio risk management plan as the Board deems to be in the best interest of the Entities.
- C. To coordinate and manage the interaction of all Entities participating in cooperative energy procurements.
- D. Make recommendations to the Entities on which cooperative energy procurement opportunities to pursue.
- E. Decide on each Entity's share of costs for required services.
- F. The Board shall foster the development and growth of all new cooperative energy procurements.
- G. To appoint a Portfolio Energy Advisor with which each Entity will separately contract.
- H. If the Board determines to issue a request for proposals or undertake some other procurement on behalf of all the Entities, it shall appoint one Entity to coordinate the procurement process on behalf of the Entities.

4. Cost Sharing Among Entities

- A. Each Entity shall share the costs of cooperative energy procurements, including contracts for consulting, other services, and any required excess fund working capital balance under the Program Operating Procedures.
- B. For energy procurements in which the services being performed are directly quantifiable to the energy being purchased, each Entity shall pay for only the services that match-up to the energy being used.

- C. For energy procurements in which the services being performed are not directly quantifiable to the energy being used, each Entity shall pay a pro rata share of the service fees based upon their historical energy usage, latest data available.
- D. For any energy procurement in which cost sharing is not easily defined, the Board shall meet in order to determine the appropriate cost sharing allocation, which must be approved by a vote of the Board.
- E. If an Entity leaves SEPSPA during a period of consultation with an energy consultant or similar vendor, and incurs costs in which the services being performed are not directly quantifiable to the energy being used, it shall pay its pro rata share of the service fees based upon the Entity's use of consulting and other related services.
- F. Allocation of costs to specific Entities pursuant to this section shall be done by the parties at the time of committing to such cost.

5. Contracting

- A. All contracting procedures undertaken by SEPSPA must comply with each Entity's respective procurement and contracting requirements.
- B. Wherever possible and to the extent permitted by law, each Entity shall execute separate individual contracts with third parties in connection with SEPSPA objectives and shall be individually responsible for payment of the Entity's own invoices.
- C. In accordance with any established procedures, rules or by-laws adopted by SEPSPA, an Entity entering into this MOU may opt out of any particular procurement endeavor undertaken by SEPSPA including with respect to any contracts with third party energy suppliers resulting from the recommendations of the Portfolio Energy Advisor and/or SEPSPA's Electric Cost Management and Procurement Plan if such contracts do not meet the Entity's specific needs.
- D. To the extent that there are bills or other financial obligations that are directed to SEPSPA, rather than any individual Entity(ies):
 - (1) the Board shall appoint a financial administrator for the purpose of paying said expenses properly generated under this MOU and billing each individual Entity for its share of such expenses (in accordance with the principals set forth in Section 4 hereof); provided, that the financial administrator shall only be responsible for making payments from funds provided by the Entities. To this end, the Board may approve establishment of an account to pay certain expenses and require deposit of amounts by each Entity in such account in anticipation of such expenses.

- (2) The financial administrator shall maintain, in accordance with generally accepted accounting principles, books, records, documents, correspondence, and other data pertaining to this Agreement, to the extent and in such detail as will properly document its actions and responsibilities under this Agreement. The Board may, by majority vote, appoint an outside auditor to review the management of funds. This outside auditor may be a Controller of an Entity. The Board Coordinator shall provide the outside auditor access to all books, records and internal documents needed to perform the audit.

6. New Entities

- A. New entities are eligible to join SEPSPA to participate in the new electricity procurement strategy, provided that their membership has the effect of lowering administrative costs, avoiding duplication of effort, potentially obtaining better prices through economies of scale, and the exchanging of information and expertise. The Board may establish eligibility criteria for new members, including creditworthiness and financial ability to participate.
- B. New entities shall share in the costs of energy procurements. The Board shall vote on any approval for a new entity wishing to participate in an existing SEPSPA energy contract. Any deviation from the costs sharing policy must be proposed, discussed, voted, and approved by SEPSPA.
- C. In connection with admission of any new entity, the Board shall determine whether any amendments are required to this MOU, Program Operating Procedures or the Electric Cost Management and Procurement Plan.

7. Exit from this MOU

To exit this MOU:

- A. An Entity must provide a minimum of six months written notice to the Board.
- B. A Board meeting will be conducted to discuss the disposition of any purchases made on the futures markets for the exiting Entity.
- C. The exiting Entity shall decide on how and when to dispose of any purchases made on the futures markets for that Entity.
- D. The disposition of these purchases shall not adversely affect any of the remaining participating Entities.
- E. The exiting Entity will be responsible for any losses on liquidation of fixed rate commitments that were made by the program in anticipation of the Entity remaining in the program.

- F. The existing Entity will receive their pro rata contribution to the excess fund working capital balance via lower supply budget billing rates during the remaining months of their participation in the program.

8. Modifications/Applicable Law

- A. The terms of this MOU shall be modified only upon the mutual written consent of the Entities.
- B. Nothing in this MOU is intended to conflict with applicable federal, state or local law.
- C. If any provision of this MOU is inconsistent with such authority, then that term shall be invalid, but the remaining terms and conditions of this MOU shall remain in full force and effect.
- D. This MOU shall be governed in all respects by the laws of the Commonwealth of Pennsylvania without giving effect to its rules relating to conflicts of laws.

9. Term

The term of this MOU will begin on the date first set forth above and terminate on December 31, 2028, unless extended in a writing executed by all Entities.

10. Miscellaneous

- A. No Partnership or Joint Venture. Nothing in this MOU or any action which may be taken pursuant to its terms is intended, or shall be deemed, to establish a joint venture or partnership between the Entities. Except as set forth in this MOU, no Entity shall have any express or implied right or authority to assume or create any obligations on behalf of, or in the name of, any other Entity, or to bind any other Entity to any contract, agreement or undertaking with any third party.
- B. Entire Agreement. This MOU constitutes the entire understanding of the parties hereto and supersedes any and all written or oral agreements, representations, or understanding; in particular, the Existing MOU is hereby terminated as of the effective date of this MOU.
- C. No Third Party Beneficiaries. The parties to this MOU do not intend, nor shall any clause be interpreted to create in any third party, any obligations to, or right or benefit by, such third party under this MOU from any party.
- D. Assignment. Neither this MOU nor any Entity's rights hereunder shall be assigned or subcontracted without the prior written consent of the other Entities. Any purported assignment in violation hereof shall be of no force or effect.

- E. Counterparts; Signature Pages: This Agreement may be executed and delivered in multiple counterparts, each of which will be deemed an original, and all of which together will constitute one and the same instrument.

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IN WITNESS HEREOF, the parties hereto have signed this Memorandum of Understanding the day and year first above written.

Attest

CHESTER COUNTY

By.....

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County Clerk

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[SIGNATURES CONTINUE ON NEXT PAGE]

Attest

DELAWARE COUNTY

By.....

Chair, County Council

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County Clerk

[SIGNATURES CONTINUE ON NEXT PAGE]

Attest

MONTGOMERY COUNTY

By.....

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Solicitor

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[SIGNATURES CONTINUE ON NEXT PAGE]

COUNTY OF BUCKS, PENNSYLVANIA

ATTEST: _____

Gail Humphrey
Chief Clerk

BY: _____

Robert J. Harvie, Jr.
Commissioner, Chair

BY: _____

Diane M. Ellis-Marseglia, LCSW
Commissioner, Vice Chair

BY: _____

Gene DiGirolamo
Commissioner, Secretary